



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance during the examination.)

(I) Section A – Case Questions

General Comments

The case involves a start-up private company ("the Company") which is engaged in small scale solar panel installation in Hong Kong. As the Company has just commenced business, it faces the typical issues other start-up companies may also face, such as a loss margin and immature internal controls and IT systems. The questions cover a wide range of topics, including risk assessment, controls over IT systems, test of controls, and substantive audit procedures on revenue and trade payables.

Specific Comments

Question 1(a) – 2 marks

This question required candidates to list which assertions are addressed by the internal controls as set out in the case. The purpose of this question was to enable candidates to answer Q1(b) and Q1(c) appropriately. Candidates generally answered this question correctly.

Question 1(b) – 4 marks

This question required candidates to identify additional risks regarding "what could go wrong" in the occurrence, accuracy, completeness, and cut-off assertions in the revenue recognition process, based on the minimal internal controls being put in place. As the case provided comprehensive information, candidates generally provided relevant answers.

Question 1(c) – 8 marks

This question required candidates to conclude the effectiveness of the design of the internal controls and propose a test of controls and substantive procedures to audit the revenue account. Candidates in general answered this question correctly, though some provided generic answers that did not relate to the specifics of the case.



Question 2(a) – 8 marks

This question required candidates to identify factors to support the high-risk assessment on a management estimate relating to the allocation of performance obligations between sale of goods and service income within a contract. Candidates did not perform well in this question since most only provided simple answers, for example by copying the textbook or the auditing standards, and did not relate their answers to the specifics of the case. Additionally, some candidates did not attempt this question.

Question 2(b) – 4 marks

This question required candidates to identify a contract where the allocation may be wrong and could cause material misstatement. Candidates who answered correctly provided supporting factors to demonstrate why such a contract's allocation is wrong. However, candidates who did not identify the correct contract were unable to score any marks.

Question 3(a) – 8 marks

This question required candidates to analyse and identify irregularities in the balances of "Deposit for purchases of solar panels" and "Trade Payables". Most candidates identified a few obvious irregularities. However, the majority of candidates did not pull all the relevant facts together nor did they consider them all when applying analytical review.

Question 3(b) – 4 marks

This question required candidates to propose audit procedures to respond to Q3(a) above. As performance in Q3(a) was not satisfactory, candidates did not have adequate points to cover in their answers in this part.

Question 4(a) – 4 marks

This question required candidates to design procedures to test the GITC (General Information Technology Control). Most candidates answered this question correctly as this question was very straightforward.

Question 4(b) – 8 marks

This question required candidates to prepare a letter communicated to the independent board of directors regarding the audit team's analysis of the impact of the GITC effectiveness on the audit strategy. Few candidates explained the impact of the GITC effectiveness on the audit work. Furthermore, many candidates failed to compare the audit strategy when GITC is effective and when GITC is ineffective.



(II) Section B – Essay/Short Questions

General Comments

This section covered a wide range of technical topics, including independence, corporate governance, related parties transactions, subsequent event implications and audit procedures, and management and directors' responsibilities regarding preparing financial statements. The questions were set with mini cases which contained various practical situations and aimed to test candidates on their abilities to apply technical knowledge to these practical situations.

Specific Comments

Question 5(a) – 4 marks

This question required candidates to identify the risk of material misstatement associated with related party transactions. In general, candidates provided appropriate answers. Many candidates demonstrated a strong understanding of the requirements and used this knowledge to guide their analyses based on the facts presented in the case.

Question 5(b) – 4 marks

This question required candidates to propose audit procedures to address the risk of material misstatements related to the risk identified in Q5(a). Candidates were expected to identify relevant procedures and explain how they would address the identified risks. Many candidates provided and listed appropriate audit procedures, but some candidates did not propose specific audit procedures and thus failed to receive any marks.

Question 5(c) – 4 marks

This question required candidates to propose audit procedures when they identified that management had not properly disclosed related party transactions in the financial statements. Generally, candidates applied the specific details of the case and advised on communication with those charged with governance. However, some candidates misunderstood the question and provided irrelevant answers.

Question 6(a) – 8 marks

This question required candidates to evaluate the implications of subsequent events in the case and suggest appropriate audit procedures. However, many candidates failed to apply the case background and evaluate the implications of the subsequent event, particularly the risks pertaining to going concern and liquidity. Some candidates proposed audit procedures directly and were therefore unable to score satisfactory marks.



Question 6(b) – 3 marks

This question required candidates to describe the auditor's responsibilities concerning the Other Information section of a listed company's annual report. The question was straightforward; however, some candidates confused the concept of "other information" with "financial statements" and even "other matters" in the auditor's report.

Question 6(c) – 3 marks

This question required candidates to propose follow-up procedures when there are inconsistencies between the "other information" written by management in the annual report and financial statements. Candidates generally provided fairly appropriate answers.

Question 7 – 12 marks

This question required candidates to analyse the scenarios provided, explain the ethical issues, if any, and advise on relevant safeguards if applicable. Candidate performance on this question was satisfactory, and most candidates were able to identify the relevant threat and propose safeguards. However, on Q7(b), which related to the proposal of non-audit services, some candidates simply suggested that the auditor should decline such services but failed to provide appropriate safeguards.

Question 8(a) – 3 marks

This question required candidates to explain the role and responsibilities of a director of a Hong Kong company in relation to the preparation of financial statements under the Hong Kong Companies Ordinance.

Candidate performance on this question was unsatisfactory. Many candidates failed to accurately explain the specific responsibilities of the director in the context of preparing financial statements and instead only addressed their general duties and responsibilities.

Question 8(b) – 4 marks

This question required candidates to advise a director on the mandatory disclosure requirements related to the benefits and interest of directors in a financial statement under the Hong Kong Companies Ordinance.

Candidate performance on this question was fair. Many candidates demonstrated that they were familiar with this topic. However, some candidates did not provide advice based on the specific case details and therefore did not score high marks.



Question 8(c) – 5 marks

This question required candidates to explain the function of an audit committee in a listed company. Most candidates did not perform well in this question. Although a number of candidates demonstrated an understanding of the general responsibilities of an audit committee under the Corporate Governance Code, they appear to have lacked sufficient time to provide a comprehensive answer.

(III) Conclusion and Recommendation

During this examination session, candidates largely provided answers with reference to the specific case details. However, many candidates still failed to apply their technical knowledge to the case or to specific situations. In addition, there were several incidents of candidates not attempting to answer some of the more difficult topics.